

capable and ethical management, you have access to the management: such combinations do not come that often.'

Our learning from legendary investors like Warren Buffett, Akash Prakash, Sanjoy Bhattacharyya and K.N. Sivasubramanian is that to consistently generate healthy returns from equity investing, one has to invest in high-quality companies and then sit tight for long (often very long) without losing sleep about where the share price is going.⁴

The Coffee Can Portfolio: Robust returns with a low degree of uncertainty

Headquartered in Los Angeles, Capital Group is one of the world's largest asset management firms with assets under management in excess of US\$1.4 trillion. In the late 1960s, Capital Group set up an entity called Capital Guardian Trust Company whose aim was to provide traditional investment counselling services to wealthy individuals. Robert Kirby joined Capital in 1965 as the main investment manager in Capital Guardian Trust, where his job involved advising high net worth clients on investments and managing their portfolios. Nearly twenty years later he wrote a remarkable note which introduced to the world the concept of the 'Coffee Can Portfolio'.

Kirby, in a note written in 1984,⁵ narrated an incident involving his client's husband. The gentleman had purchased stocks recommended by Kirby in denominations of US\$5000 each but, unlike Kirby, did not sell anything from the portfolio. This process (of buying when Kirby bought but not selling thereafter) led to enormous wealth creation for the client over a period of about ten years. The wealth creation was mainly on account of one position transforming to a jumbo holding worth over US\$8,00,000 which came from 'a zillion shares of Xerox'. Impressed by this approach of 'buy and forget', Kirby coined the term 'Coffee Can Portfolio', a term in which the 'coffee can' harks back to the Wild West, when Americans, before the widespread advent of banks, saved their valuables in a coffee can and kept it under a mattress.